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TRANSPORTATION



TechCrunch Mobility: Tesla's ride-hailing gambit

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Tesla CEO Elon Musk is in what one might describe a suboptimal position. He's pushed hard to get shareholders to view Tesla as an AI and robotics company, not a maker of EVs. And yet, the company's most visible products, which generate the bulk of its revenues, are its electric cars.

Yes, Tesla EVs are advanced, particularly when it comes to its underlying vehicle architecture and software. And its driver-

assistance s
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company is s
neither of the
IMAGE CREDI

Tesla's first robotaxi service launched a limited trial in San Francisco. The Robotaxi-branded service is available via an app, but it requires a passenger seat. Musk has said a "general solution" that would allow a Tesla owner to earn money by renting out their vehicle as a robotaxi service.

The clock is ticking and Musk needs to show more progress — or at the very least tease upcoming launches to keep antsy shareholders content. Which is perhaps why Tesla is embarking on this ride-hailing gambit in California.

Earlier this month, Musk noted that Tesla would be launching a robotaxi service in the Bay Area ["in a month or two"](#) — regulatory approvals being the primary hang-up.

The problem? Tesla hasn't even applied for the permits that would allow it to operate a robotaxi service. I checked Friday morning with the California DMV, which regulates driverless testing, and Tesla has not yet applied for the necessary permits. (A spokesperson did tell me the DMV met with Tesla

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to discuss the company's plans to test autonomous vehicles in the state.)

TC

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So, instead Tesla is testing in the San Francisco Bay Area. And

To be clear, we're talking about a board member of the city's [robotaxis](#), though it would be a stretch to say it does not currently have its own employees around the Bay Area shape, or for

take you through all of the various permits Tesla needs.

This ride-hailing launch has many folks wondering, what gives? My answer: optics.

A little bird



IMAGE CREDITS: BRYCE DURBIN

Recent chatter among some little birds suggests that the National Automobile Dealers Association is focusing its efforts on VW Group spinout Scout and the EV company's plans for direct sales. The dealership industry group has opposed the direct sales model before. But unlike direct-sales adopters Tesla, Rivian, and Lucid, Scout is attached to a legacy automaker with a long-established dealer network.

Got a tip for us? Email Kirsten Korosec at kirsten.korosec@techcrunch.com or my Signal at [kkorosec.07](https://twitter.com/kkorosec), Sean O'Kane at sean.okane@techcrunch.com or Rebecca Bellan at rebecca.bellan@techcrunch.com.

Deals!



IMAGE CREDITS: iStockphoto.com

Think back to 2013, when we captured the attention of the founder Ryan Smith and because of it, we became a tech unicorn.

Here's an update. Flexport has now [sold the Convoy platform](#) to DAT Freight & Analytics. The terms were undisclosed, although the company said it had delivered a "massive return on investment for Flexport." Reporting from Axios' Dan Primack suggests that, yes, indeed "massive return" is an appropriate description.

Flexport never disclosed exactly what it had paid for Convoy's tech, although reporting at the time put the figure at \$16 million — a fraction of the unicorn's previous valuation of \$3.8 billion. Primack reported this week that Flexport sold the Convoy platform [for \\$250 million](#).

Other deals that got my attention this week ...

AIR, an Israel-based startup developing eVTOLs, [raised \\$23 million](#) in a Series A funding round led by Entrée Capital, with

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participation from existing backer Dr. Shmuel Harlap, an early investor in Mobileye.

LG Innotek, the components and materials subsidiary of South Korea's LG Group, is [investing up to \\$50 million](#) in Aeva, acquiring an equity stake of about 6% in the U.S. lidar company. The investment is part of a broader manufacturing partnership between the two companies and marks Aeva's push into consumer electronics, robotics, and industrial automation.

Notable reads and other tidbits

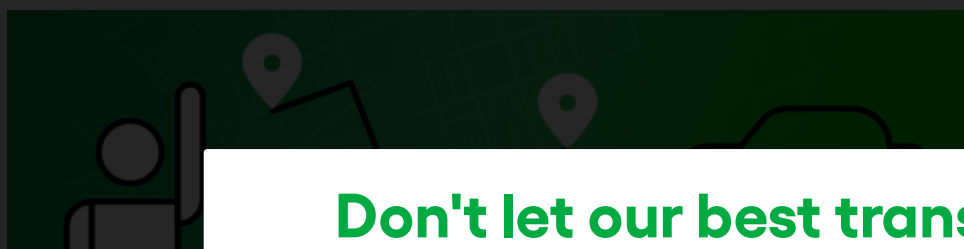


IMAGE CREDITS:ISTOCK

Aurora shared its first autonomous driving truck report. The autonomous truck is driving on a highway in Houston, logged 100,000 miles by the end of June. The report is from its term sheet with Phoenix and what is [next](#).

Elon Musk's tunnel-digging company The Boring Company plans to [build a 10-mile "loop"](#) that will connect Nashville's downtown and its convention center and airport. Important side notes: This will be funded by The Boring Company and its private partners, which are not named. And this is the start of a public process to evaluate routes, which means work won't be starting right away.

Ford plans to reveal more information about its upcoming low-cost electric vehicles at an event in Kentucky on August 11. And, as senior reporter Sean O'Kane notes, the company is [talking a very big game](#).

Joby Aviation has signed an agreement with defense contractor L3Harris Technologies to "explore opportunities" to [develop a new aircraft class](#) — specifically, a gas-turbine hybrid vertical take-off and landing (VTOL) aircraft that can fly

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autonomously — for defense applications. The gas-turbine hybrid VTOL will be based on Joby's current S4 aircraft platform. This isn't a contract, per se. But it does mark progress in Joby's bid to go to market in the defense and consumer sectors.

While Uber continues to partner with every autonomous vehicle company under the sun, Lyft is trying to make its own deals. Lyft said it will [add autonomous shuttles](#) made by Austrian manufacturer Benteler Group to its network in late 2026. The shuttles will be deployed in partnership with U.S. cities and airports.

Waymo plans to [launch a robotaxi service](#) next year in Dallas, and this time it is partnering with Avis Budget Group to manage its fleet of autonomous vehicles. In other Waymo happenings, two of its robotaxis crashed into each other at one of the company's test sites, proving that autonomous driving does not mean perfect driving. The company is investigating the crash.

Chinese AV company
driving permits
permits in China
States.

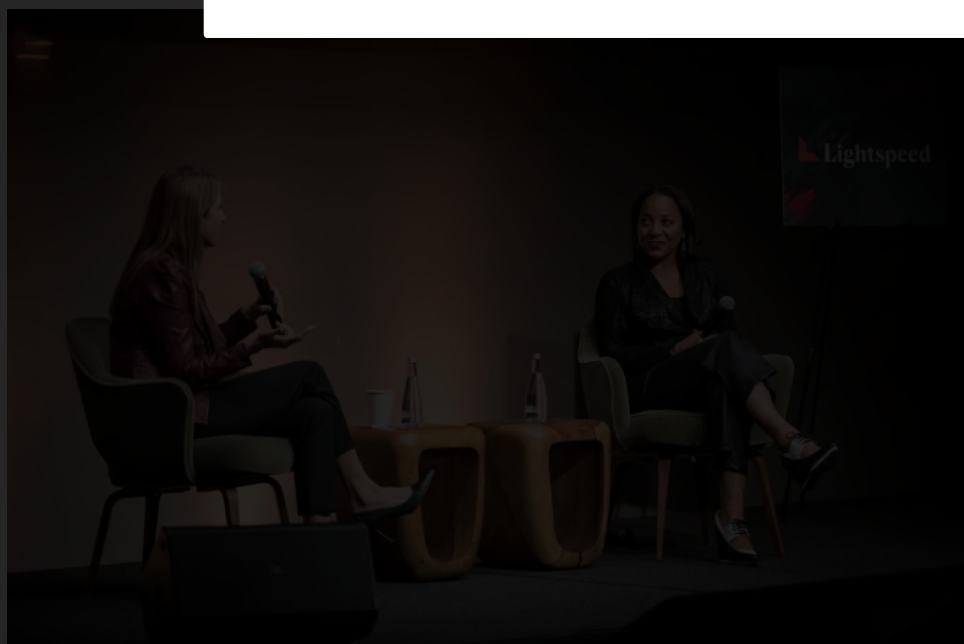
One last

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[Waymo](#) co-CEO Tekedra Mawakana will join the [Disrupt Stage](#) for a wide-ranging conversation on the current state of AVs — and where the industry goes from here. [TechCrunch Disrupt 2025](#) will be held October 27–29 at Moscone West in San Francisco.

Topics: [Elon Musk](#) [Joby Aviation](#) [techcrunch mobility](#) [Tesla](#)

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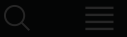
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Elon Musk says he'll unveil
a Tesla robotaxi on August 8

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Reports have swirled for years that Tesla was working on these two vehicles. But Musk has wavered on whether to prioritize a typical car or one with no steering wheel or pedals, despite not having yet produced a fully autonomous car, according to descriptions in Walter Isaacson's biography of Musk.

The CEO pushed back in mid-2022 against his engineers' insistence on referencing a car with a steering wheel and pedals. And even as he pressed ahead, lead designer Franz von Holzhausen and engineering VP Lars Moravy kept the more traditional car version alive as a "shadow project," Isaacson wrote at the time.

Musk has been promoting his vision of self-driving vehicles for years. In a 2015 [cross-country road trip](#), he promised to produce a fully autonomous vehicle with a broader vision of transportation. In a 2016 [interview](#), he promised a 2020 (that also turned out to be a dedicated road trip) to come to market.

Tesla vehicles have a self-driving system brand called Autopilot. Owners can't turn it on, but CEO Elon Musk has said it's "the closest thing to autonomous driving capabilities."

Tesla vehicles [are not self-driving](#). Instead, FSD includes a number of automated driving features that still require the driver to be ready to take control at all times, including the parking feature Summon, as well as Navigate on Autopilot, an active guidance system that navigates a car from a highway on-ramp to off-ramp, including interchanges and making lane changes. The system is also supposed to handle steering on city streets.

Topics: [Elon Musk](#) [EVs](#) [robotaxis](#) [Tesla](#) [Transportation](#)

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IMAGE CREDITS: SCREENSHOT OF TESLA PRESENTATION

Tesla expects to launch the first robotaxis as part of broader vision for an autonomous ride-sharing network in 2020, CEO Elon Musk said during the company's Autonomy Day.

"I feel very confident predicting that there will be autonomous robotaxis from Tesla next year — not in all jurisdictions because we won't have regulatory approval everywhere" Musk said without detailing what regulations he was referring

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to. He added that he is confident the company will have regulatory approval somewhere next year.

Tesla will enable owners to add their properly equipped vehicles to its own ride-sharing app, which will have a similar business model to Uber or Airbnb. Tesla will take 25 percent to 30 percent of the revenue from those rides, Musk said. In places where there aren't enough people to share their cars, Tesla would provide a dedicated fleet of robotaxis.

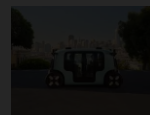
Musk has talked about the Tesla Network and ambitions to allow owners to place their vehicles on the ride-hailing app since 2016.

All new Tesla vehicles are now produced with its custom full self-driving computer chip, a detail that Musk revealed during the event Monday. That chip fulfills the hardware requirement Musk boasted that the vehicles would have. Musk also boasted that the vehicles would be equipped with radar and cameras, and that the software would be critical, but that it was "doomed.")

The remaining "feature complete" vehicles will be considered for next year.

"From our start, we've been targeting a fleet of over a million and three months, but next year for sure, we'll have over a million robotaxis on the road," Musk said. "The fleet wakes up with an over the air update; that's all it takes."

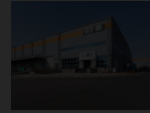
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Federal regulators give Zoox an exemption for its custom-built robotaxis

Kirsten Korosec - 12 hours ago

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Recharging the Tesla robotaxis is one of few challenges that the company will face as it prepares to deploy.

Musk noted that he sees a future where the robotaxis would return home and automatically park and recharge. While he stopped short of confirming a production version of the snake charger Tesla unveiled in 2015, it was clear that Tesla sees a similar version coming to market alongside the robotaxi network.

Topics: [Airbnb](#) [cars](#) [Elon Musk](#) [Federal government](#)

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